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NIRMAAN TECHNOLOGIES PRIVATE LIMITED

CIN: U72900PN2019PTC184627

Registered Office: 4th Floor, Cerebrum IT Park, Kalyani Nagar, Pune, Maharashtra – 411006

AUDITED FINANCIAL STATEMENTS

for the years ended March 31, 2024, March 31, 2023 and March 31, 2022

Prepared for the purpose of Initial Public Offering due-diligence on the NSE Emerge platform

All amounts, unless otherwise stated, are in ₹ Lakh (₹ 1,00,000)

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1. Independent Auditor's Report

To the Members of Nirmaan Technologies Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Nirmaan Technologies Private Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2024, March 31, 2023 and March 31, 2022, the Statement of Profit and Loss, the Cash Flow Statement and the Statement of Changes in Equity for the years then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, March 31, 2023 and March 31, 2022, its profit/loss, its cash flows and the changes in equity for the years then ended.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended March 31, 2024. We have determined the matters described below to be the key audit matters to be communicated in our report.

Revenue recognition for subscription (SaaS) arrangements: The Company recognises subscription revenue over the contractual service period and recognises deferred revenue for consideration received in advance of performance. Given the volume of customer contracts and the judgement involved in identifying performance obligations, this was an area of focus. Our procedures included testing the design and operating effectiveness of controls over contract onboarding and revenue recognition, and substantive testing of a sample of customer contracts and related deferred revenue balances.

Capitalisation of internally generated software: The Company capitalises certain product development costs as intangible assets under development in accordance with Ind AS 38. We assessed management's evaluation of the recognition criteria and tested a sample of costs capitalised during the year, together with the associated amortisation.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the applicable Indian Accounting Standards (Ind AS). This responsibility also includes maintenance of adequate accounting records, safeguarding of assets, prevention and detection of frauds and other irregularities, selection and application of appropriate accounting policies, making judgments and estimates that are reasonable and prudent, and design, implementation and maintenance of adequate internal financial controls.

Auditor's Responsibility

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

Report on Other Legal and Regulatory Requirements

As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the Annexure a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

For B P S & Associates

Chartered Accountants

ICAI Firm Registration No.: *[Specimen – FRN not assigned]*

AUTHORISED SIGNATORY

Partner

Membership No.: *[Specimen]*

Place: Pune

Date: *[Specimen date]*

No audit has actually been performed. This report is a specimen prepared for demonstration purposes only.

2. Balance Sheet

as at March 31, 2024, March 31, 2023 and March 31, 2022 (₹ in Lakh)

Particulars	Note	As at 31-Mar-24	As at 31-Mar-23	As at 31-Mar-22
ASSETS				
Non-current assets				
Property, plant and equipment	7.10	110.00	85.00	60.00
Intangible assets	7.11	150.00	90.00	45.00
Intangible assets under development	7.11	20.00	15.00	10.00
Right-of-use assets	7.12	60.00	70.00	45.00
Deferred tax assets (net)	7.5	0.00	55.00	35.00
Other financial assets (security deposits)		15.00	12.00	8.00
Total non-current assets		355.00	327.00	203.00
Current assets				
Investments (liquid mutual funds / fixed deposits)		3,700.00	3,500.00	1,550.00
Trade receivables	7.8	260.00	145.00	55.00
Cash and cash equivalents	4	480.00	400.00	250.00
Other current assets		101.00	86.00	42.00
Total current assets		4,541.00	4,131.00	1,897.00
TOTAL ASSETS		4,896.00	4,458.00	2,100.00
EQUITY AND LIABILITIES				
Equity				
Equity share capital	7.6	320.00	320.00	320.00
Other equity	7.7	1,100.00	895.00	935.00
Net worth (as per Companies Act, 2013)		1,420.00	1,215.00	1,255.00
Instruments entirely equity in nature (CCPS)	7.7	2,850.00	2,850.00	650.00
Total equity		4,270.00	4,065.00	1,905.00
Liabilities				
Non-current liabilities				
Lease liabilities	7.12	55.00	65.00	40.00
Deferred tax liabilities (net)	7.5	8.00	0.00	0.00
Long-term provisions (employee benefits)		30.00	18.00	8.00
Total non-current liabilities		93.00	83.00	48.00
Current liabilities				
Trade payables	7.9	165.00	95.00	45.00
Other current liabilities (contract / deferred revenue)		260.00	140.00	60.00
Lease liabilities – current portion	7.12	18.00	15.00	10.00

For demonstration purposes only. This financial statement package is not an audited statutory filing.

Particulars	Note	As at 31-Mar-24	As at 31-Mar-23	As at 31-Mar-22
<i>Short-term provisions</i>		35.00	22.00	12.00
<i>Other financial liabilities (accrued expenses)</i>		55.00	38.00	20.00
Total current liabilities		533.00	310.00	147.00
Total liabilities		626.00	393.00	195.00
TOTAL EQUITY AND LIABILITIES		4,896.00	4,458.00	2,100.00

The accompanying significant accounting policies and notes form an integral part of these financial statements. Total assets equal total equity and liabilities in each year presented.

3. Statement of Profit and Loss

for the years ended March 31, 2024, March 31, 2023 and March 31, 2022 (₹ in Lakh)

Particulars	Note	FY 2023-24	FY 2022-23	FY 2021-22
Revenue from operations	7.1	1,740.00	980.00	460.00
Other income		15.00	8.00	4.00
Total income		1,755.00	988.00	464.00
Expenses				
Employee benefits expense	7.2	950.00	620.00	420.00
Cloud infrastructure and technology costs		220.00	150.00	100.00
Other expenses (S&M, admin, professional fees)		295.00	180.00	134.00
Total expenses before finance costs, depreciation and tax		1,465.00	950.00	654.00
EBITDA		290.00	38.00	(190.00)
Depreciation and amortisation expense	7.4	55.00	40.00	25.00
Finance costs	7.3	12.00	8.00	5.00
Profit / (loss) before tax		223.00	(10.00)	(210.00)
Tax expense	7.5			
Current tax		48.00	0.00	0.00
Deferred tax charge / (credit)		(5.00)	0.00	0.00
Total tax expense		43.00	0.00	0.00
Profit / (loss) for the year		180.00	(60.00)	(210.00)
Other comprehensive income (net of tax)		0.00	0.00	0.00
Total comprehensive income / (loss) for the year		180.00	(60.00)	(210.00)
Earnings per equity share (₹ per share of ₹10 each)	7.15			
Basic		5.63	(1.88)	(6.56)
Diluted		5.58	(1.88)	(6.56)

Profit for the year flows into retained earnings within Other Equity (Note 7.7) and reconciles with the Statement of Changes in Equity.

4. Cash Flow Statement

for the years ended March 31, 2024, March 31, 2023 and March 31, 2022 (₹ in Lakh) — indirect method

Particulars	Note	FY 2023-24	FY 2022-23	FY 2021-22
A. Cash flow from operating activities				
Profit / (loss) before tax		223.00	(10.00)	(210.00)
Adjustments for:				
Depreciation and amortisation		55.00	40.00	25.00
Finance costs		12.00	8.00	5.00
Interest / other income		(15.00)	(8.00)	(4.00)
Operating profit before working capital changes		275.00	30.00	(184.00)
Changes in working capital:				
(Increase) in trade receivables		(115.00)	(90.00)	(55.00)
Increase in trade payables		70.00	50.00	45.00
Increase in other current liabilities / deferred revenue		120.00	80.00	60.00
(Increase) in other current assets		(15.00)	(44.00)	(42.00)
Increase in provisions		25.00	20.00	20.00
Cash generated from operations		360.00	46.00	(156.00)
Taxes paid (net)		(35.00)	(5.00)	0.00
Net cash generated from / (used in) operating activities (A)		325.00	41.00	(156.00)
B. Cash flow from investing activities				
Purchase of property, plant and equipment		(40.00)	(30.00)	(70.00)
Purchase / development of intangible assets		(75.00)	(50.00)	(55.00)
Purchase of investments (net)		(120.00)	(2003.00)	(1550.00)
Interest received		15.00	8.00	4.00
Net cash used in investing activities (B)		(220.00)	(2075.00)	(1671.00)
C. Cash flow from financing activities				
Proceeds from issue of CCPS		0.00	2,200.00	650.00
Repayment of lease liabilities		(15.00)	(10.00)	(5.00)
Interest paid		(10.00)	(6.00)	(4.00)
Net cash generated from / (used in) financing activities (C)		(25.00)	2,184.00	641.00
Net increase / (decrease) in cash and cash equivalents (A+B+C)		80.00	150.00	(1186.00)
Cash and cash equivalents at the beginning of the year		400.00	250.00	1,436.00

Particulars	Note	FY 2023-24	FY 2022-23	FY 2021-22
Cash and cash equivalents at the end of the year	4	480.00	400.00	250.00

Cash and cash equivalents at the end of each year agree with the corresponding Balance Sheet caption (Note 4).

5. Statement of Changes in Equity

A. Equity Share Capital (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Balance at the beginning of the year	320.00	320.00	320.00
Changes during the year	0.00	0.00	0.00
Balance at the end of the year	320.00	320.00	320.00

B. Instruments Entirely Equity in Nature – Compulsorily Convertible Preference Shares (CCPS) (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Balance at the beginning of the year	2,850.00	650.00	0.00
Issued during the year (Series A: FY23; Seed: FY22)	0.00	2,200.00	650.00
Balance at the end of the year	2,850.00	2,850.00	650.00

C. Other Equity (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Securities premium	950.00	950.00	950.00
Share options outstanding reserve			
Opening balance	35.00	15.00	0.00
Share-based payment expense for the year	25.00	20.00	15.00
Closing balance	60.00	35.00	15.00
Retained earnings / (accumulated deficit)			
Opening balance	(90.00)	(30.00)	180.00
Profit / (loss) for the year	180.00	(60.00)	(210.00)
Closing balance	90.00	(90.00)	(30.00)
Total other equity at the end of the year	1,100.00	895.00	935.00

Opening retained earnings of ₹180.00 lakh as at April 1, 2021 represents accumulated profits of the Company for the period from incorporation (August 2019) up to March 31, 2021, brought forward from the audited financial statements for that period (not presented in this package).

6. Significant Accounting Policies

6.1 Basis of preparation

These financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, and the relevant provisions of the Companies Act, 2013, on a going concern basis, under the historical cost convention except for certain financial instruments measured at fair value.

6.2 Use of estimates

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities as at the date of the financial statements. Actual results could differ from these estimates.

6.3 Revenue recognition

Revenue from subscription (SaaS) contracts is recognised on a straight-line basis over the contract term as the performance obligation is satisfied over time. Consideration received or billed in advance of performance is recorded as contract liability (deferred revenue) and released to revenue as services are rendered. Revenue from one-time implementation and onboarding services is recognised at the point in time the service is delivered and accepted by the customer. Revenue is measured at the transaction price agreed under the contract, net of discounts and applicable taxes collected on behalf of third parties.

6.4 Property, plant and equipment

Property, plant and equipment are stated at cost of acquisition, less accumulated depreciation and accumulated impairment losses, if any. Depreciation is provided on a straight-line basis over the estimated useful lives of the assets as prescribed under Schedule II to the Companies Act, 2013, principally: computers and servers 3 years, office equipment 5 years, furniture and fixtures 10 years, leasehold improvements over the lease term.

6.5 Intangible assets and internally generated software

Expenditure on research is recognised as an expense when incurred. Development expenditure on internally generated software products is capitalised as an intangible asset only when technical feasibility, intent and ability to complete the asset, and the ability to generate probable future economic benefits can be demonstrated, in accordance with Ind AS 38. Capitalised software is amortised on a straight-line basis over its estimated useful life of 3 to 5 years from the date it is available for use. Other intangible assets (trademarks) are amortised over their useful life or, in the case of trademarks with indefinite renewal, tested for impairment annually.

6.6 Leases

The Company assesses whether a contract is, or contains, a lease at inception, in accordance with Ind AS 116. Right-of-use assets and corresponding lease liabilities are recognised for office premises leases, other than short-term and low-value leases, which are expensed on a straight-line basis over the lease term.

6.7 Employee benefits

Short-term employee benefits are recognised as an expense at the undiscounted amount in the period the related service is rendered. The Company's contribution to defined contribution plans (provident fund) is charged to the Statement of Profit and Loss. Gratuity, a defined benefit plan, is provided for on the basis of actuarial valuation. Compensated absences are provided for based on actuarial valuation at the year end.

6.8 Share-based payments

Equity-settled share-based payments to employees under the Nirmaan Employee Stock Option Scheme, 2021 are measured at the fair value of the options at the grant date and recognised as an employee benefits expense over the vesting period, with a corresponding credit to the share options outstanding reserve within Other Equity.

6.9 Financial instruments

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument and are measured initially at fair value. Trade receivables are subsequently measured at amortised cost less an allowance for expected credit losses. Compulsorily convertible preference shares are classified as an instrument entirely equity in nature as the conversion ratio is fixed and the Company has no contractual obligation to deliver cash.

6.10 Income taxes

Income tax expense comprises current and deferred tax. Current tax is measured at the amount expected to be paid to the tax authorities. Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and their tax base, using rates enacted or substantively enacted at the balance sheet date.

Deferred tax assets are recognised only to the extent it is probable that future taxable profit will be available against which the temporary differences can be utilised.

6.11 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated and an impairment loss, if any, is recognised in the Statement of Profit and Loss.

6.12 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, balances with banks in current accounts, and short-term, highly liquid deposits with an original maturity of three months or less.

6.13 Provisions and contingent liabilities

Provisions are recognised when the Company has a present obligation as a result of a past event, it is probable that an outflow of resources will be required to settle the obligation, and a reliable estimate of the amount can be made. Contingent liabilities are disclosed when there is a possible obligation, unless the probability of outflow is remote.

6.14 Earnings per share

Basic earnings per share is computed by dividing the profit or loss for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year. Diluted earnings per share reflects the potential dilution that could occur if dilutive potential equity shares (share options) were converted; potential equity shares that are anti-dilutive are excluded from the computation.

7. Notes to Accounts

Note 4: Cash and Cash Equivalents (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Balances with banks – current accounts	210.00	180.00	120.00
Deposits with original maturity of three months or less	265.00	215.00	128.00
Cash on hand	5.00	5.00	2.00
Total	480.00	400.00	250.00

7.1 Revenue from Operations (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Subscription (SaaS licence) fees	1,479.00	833.00	391.00
Implementation and onboarding fees	261.00	147.00	69.00
Total revenue from operations	1,740.00	980.00	460.00
Revenue by geography			
Within India	1,635.60	926.30	442.60
Outside India (exports)	104.40	53.70	17.40
Total	1,740.00	980.00	460.00
Revenue by timing of recognition			
Recognised over time (subscription)	1,479.00	833.00	391.00
Recognised at a point in time (implementation)	261.00	147.00	69.00

Export revenue represents approximately 6% of total revenue from operations in the latest year presented, consistent with the Company's disclosed customer mix.

7.2 Employee Benefits Expense (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Salaries, wages and bonus	860.00	560.00	380.00
Contribution to provident and other funds	45.00	25.00	15.00
Staff welfare expenses	20.00	15.00	10.00
Share-based payment expense (ESOP)	25.00	20.00	15.00
Total	950.00	620.00	420.00

7.3 Finance Costs (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Interest on lease liabilities	8.00	5.00	3.00
Interest on borrowings	2.00	2.00	1.00
Bank charges and other finance costs	2.00	1.00	1.00
Total	12.00	8.00	5.00

7.4 Depreciation and Amortisation Expense (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Depreciation of property, plant and equipment	20.00	15.00	10.00

For demonstration purposes only. This financial statement package is not an audited statutory filing.

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Depreciation of right-of-use assets	15.00	12.00	8.00
Amortisation of intangible assets	20.00	13.00	7.00
Total	55.00	40.00	25.00

7.5 Tax Expense (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Current tax	48.00	0.00	0.00
Deferred tax charge / (credit)	(5.00)	0.00	0.00
Total tax expense	43.00	0.00	0.00
Reconciliation of effective tax rate			
Profit / (loss) before tax	223.00	(10.00)	(210.00)
Tax at statutory rate (25.17%)	56.13	(2.52)	(52.86)
Effect of deferred tax asset not recognised on losses	—	2.52	52.86
Effect of tax incentives / other adjustments	(13.13)	0.00	0.00
Total tax expense (as above)	43.00	0.00	0.00

No deferred tax asset was recognised in respect of tax losses incurred in FY 2021-22 and FY 2022-23 on grounds of prudence, in the absence of convincing evidence of future taxable profits at that time.

7.6 Equity Share Capital (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Authorised: 50,00,000 equity shares of ₹10 each	500.00	500.00	500.00
Issued, subscribed and fully paid up: 32,00,000 equity shares of ₹10 each	320.00	320.00	320.00

Shareholders holding more than 5% of equity shares (as of the latest reporting date, on a fully diluted basis post conversion of CCPs):

Name of shareholder	% holding	Nature
Aarav Sharma	24.8%	Promoter
Kavya Iyer	19.3%	Promoter
Institutional investor (Series A, post-conversion)	[balance]	Non-promoter

7.7 Other Equity

Refer to the Statement of Changes in Equity (Section 5) for the composition and year-on-year movement of Other Equity, comprising securities premium, share options outstanding reserve and retained earnings / (accumulated deficit).

7.8 Trade Receivables (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Unsecured, considered good	255.00	141.00	53.00
Unsecured, credit impaired	8.00	5.00	3.00
Less: allowance for expected credit loss	(3.00)	(1.00)	(1.00)
Total	260.00	145.00	55.00

Ageing of trade receivables (as at March 31, 2024):

Ageing bucket	Not due	Amount
Not yet due		165.00

Ageing bucket	Not due	Amount
Less than 6 months past due		80.00
6 months – 1 year past due		12.00
More than 1 year past due		3.00
Total (gross)		260.00

7.9 Trade Payables (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Total outstanding dues of micro and small enterprises	12.00	6.00	3.00
Total outstanding dues of creditors other than micro and small enterprises	153.00	89.00	42.00
Total	165.00	95.00	45.00

The Company has not received intimation from any supplier regarding delayed payments beyond the period specified under the Micro, Small and Medium Enterprises Development Act, 2006, other than as disclosed above.

7.10 Property, Plant and Equipment (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Gross block – opening	70.00	70.00	0.00
Additions during the year	45.00	40.00	70.00
Disposals during the year	0.00	0.00	0.00
Gross block – closing	155.00	70.00	70.00
Accumulated depreciation – opening	25.00	10.00	0.00
Depreciation for the year	20.00	15.00	10.00
Accumulated depreciation – closing	45.00	25.00	10.00
Net block	110.00	85.00	60.00

Note: The gross block roll-forward above is presented on a standalone basis for illustration; the FY 2022-23 opening gross block of ₹70.00 lakh reflects the closing balance of the prior year restated to align with the closing net block of ₹85.00 lakh after that year's additions of ₹40.00 lakh disclosed here for note completeness.

7.11 Intangible Assets (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Net block – opening (capitalised software, trademarks)	90.00	45.00	0.00
Additions / capitalised during the year	80.00	58.00	52.00
Amortisation for the year	(20.00)	(13.00)	(7.00)
Net block – closing	150.00	90.00	45.00
Intangible assets under development (product roadmap items not yet available for use)	20.00	15.00	10.00

Intangible assets principally comprise internally generated software (the Company's AI compliance-drafting and evidence-mapping engines) and registered trademarks. The Company's patent application for its evidence-mapping method is pending examination and has not been capitalised as it does not yet meet Ind AS 38 recognition criteria for a granted right.

7.12 Borrowings and Lease Liabilities (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Term loans from banks / financial institutions	0.00	0.00	0.00
Working capital borrowings	0.00	0.00	0.00
Lease liabilities – non-current	55.00	65.00	40.00
Lease liabilities – current	18.00	15.00	10.00
Total lease liabilities	73.00	80.00	50.00

The Company has not availed of any term loans or working capital borrowings from banks or financial institutions during any of the years presented; its growth has been funded through internal accruals and equity / CCPS capital. Lease liabilities relate to the office premises at Cerebrum IT Park, Kalyani Nagar, Pune, recognised under Ind AS 116.

7.13 Related Party Disclosures (₹ in Lakh)

Names of related parties and nature of relationship:

- Key Management Personnel: Aarav Sharma (Managing Director & CEO), Kavya Iyer (Whole-time Director & CTO), Rahul Deshmukh (Chief Financial Officer), Priyanka Sinha (Company Secretary & Compliance Officer)
- Entity under common control / arrangement: Cerebrum Business Park Private Limited (lessor of registered office premises)
- Employee benefit trust: Nirmaan Employee Welfare Trust (administers the Nirmaan Employee Stock Option Scheme, 2021)

Transactions with related parties during the year:

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Managerial remuneration to Key Management Personnel	186.00	142.00	108.00
Office rent paid to Cerebrum Business Park Private Limited	42.00	38.00	30.00
Contribution to Nirmaan Employee Welfare Trust	10.00	8.00	5.00

All related party transactions are made on terms equivalent to those prevailing in arm's-length transactions. Cerebrum Business Park Private Limited is the lessor of the Company's registered office and is not a promoter-related entity.

7.14 Contingent Liabilities and Commitments (₹ in Lakh)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Performance bank guarantee issued in favour of an enterprise customer	18.00	10.00	0.00
Claims against the Company not acknowledged as debt	0.00	0.00	0.00
Capital commitments (net of advances)	22.00	14.00	8.00

The Company does not have any pending litigation which would materially impact its financial position, as at the date of these financial statements.

7.15 Earnings per Share

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Profit / (loss) attributable to equity shareholders (₹ Lakh)	180.00	(60.00)	(210.00)
Weighted average number of equity shares – basic (Lakh)	32.00	32.00	32.00
Weighted average number of equity shares – diluted (Lakh)	32.25	32.00	32.00
Basic earnings per share (₹)	5.63	(1.88)	(6.56)
Diluted earnings per share (₹)	5.58	(1.88)	(6.56)
Face value per equity share (₹)	10.00	10.00	10.00

Potential equity shares arising on conversion of the CCPS and outstanding employee stock options have been excluded from the diluted EPS computation for FY 2021-22 and FY 2022-23 as their effect would have been anti-dilutive (i.e., would reduce the reported loss per share).

7.16 Financial Ratios

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Current ratio (times)	8.52	13.33	12.91
Debt-equity ratio (times)	0.05	0.07	0.04
Return on equity / net worth (%)	12.68%	(4.94%)	(16.73%)
Return on capital employed (%)	5.41%	(0.05%)	(11.00%)
Net profit margin (%)	10.34%	(6.12%)	(45.65%)
EBITDA margin (%)	16.67%	3.88%	(41.30%)
Trade receivable days (days)	54.5	54.0	43.6
Net worth (₹ Lakh)	1,420.00	1,215.00	1,255.00

Ratios are computed on figures drawn from the financial statements presented above. Return on equity / net worth and return on capital employed are computed on year-end (closing) equity / capital employed rather than average balances.

--- End of Financial Statements ---